

When will it burst?

NFTS. ARTISTS LOVE IT. HERE'S A NEW TECHNOLOGY THAT HELPS ARTISTS, UPCOMING AND ESTABLISHED, TO ACCESS A MASSIVE CONSUMER BASE AND POTENTIALLY MAKE MILLIONS. Or ... lose millions.

Just like the early days of Blockchain saw hundreds of companies claim to have some element of blockchain in their product to grab some of that sweet investor money, we've now got a similar phenomenon brewing around NFTs. While Blockchain, as a ledger technology, does have its uses. It's utterly pathetic as a database technology where hundreds of repetitive transactions are at play. Blockchain, as a ledger technology, is best used for archival data rather than for something that will be constantly edited. Similarly, NFTs too will have their rightful place in the entire ecosystem. Perhaps, we might actually see it as a genuine form of asset management when a metaverse does become a reality or perhaps we might only see it be a passing fad. After all, are they really non-fungible?

The way it stands now, NFTs are in their infancy and there's barely any regulation, and therefore, any recourse should anything go wrong. If you're smart, then you'll make tonnes of NFTs, put them up on every NFT marketplace under the sun and hope that a couple sell. You will make a decent amount. However, if you're betting on NFTs to appreciate in value over time in the same manner as physical art does, then you're practically gambling with your money.

An NFT doesn't intrinsically have value just because it was created. We're in the phase where anyone can make NFTs by simply throwing down a couple of splotches of paint on a digital canvas or putting together a jingle that lacks any semblance of harmony. That's not necessarily going to have any value. Similarly, you could throw a couple of gradients across multiple layers of photoshop and blend them together and create more NFTs. You are most likely not going to make any money off of such artwork. However, if you do, then you're either an actual artist or you've chanced upon some technologically illiterate folks. Try not to take advantage of them.

Aside from a select few artists, most others don't end up making much off of NFTs. So in a way, it's very analogous to the real world where actual artists tend to make millions of dollars over a couple of years whereas the vast majority of people make absolutely nothing.

There's always the possibility that the super-rich might explore NFTs as a means of avoiding paying high taxes. You see the rich pay good money for artwork and show them as write offs on paper. This makes it worthwhile to invest in art. And who knows, a couple of years down the line, the artwork might actually appreciate in value. Selling the artwork at a later time will also likely earn a lot of money if there is any appreciation of value. It's a win-win.

From my perspective, NFTs do have their place in the grand scheme of things. However, the way it is now can only be defined as an abuse of the system. And if I'm to take a peek into the crystal ball then this current NFT bubble will burst over the next couple of months. And then it will blow up again after a period of lull.

This will keep on happening several times till the regulations and ecosystem catches up and puts it in its rightful place. Crypto went through a similar phase wherein we saw a period of enthusiastic overinvestment followed by a massive crash with lots of assets losing a significant portion of their value in a short period. Then there is a gap of a couple of years where people become increasingly skeptical. And then, a couple of years later, the cycle continues. We're witnessing the NFT bubble expand like crazy at the moment. It's not a question of whether it will burst or not, rather it about when it will burst. **d**



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